encourage venture capital, could commit only Rs 857 crore or about $130 million totally to as many as thirteen ‘daughter’ funds.

There are some modifications. The fabless chip design industry is to be promoted now, while the semiconductor fab facilities proposed in NPE-2012 did not get established in India.

NPE-2019 does not offer anything new to promote electronic hardware production. The government is supplementing the policy with other measures, like PLIs, or production-linked incentives, to encourage the establishment of industries that use a substantial amount of electronics.

PLI Scheme for Large-Scale Electronics Manufacturing

Both the editions of the NPE were more focused on scale of electronics manufacturing than electronics manufacturing. Other than the proposal of semiconductor fab manufacturing, all other proposals were effectively targeted towards small-scale enterprises in the electronics sector. Small-scale enterprises do not have any electronics technology and make only a few electronic components. As the producers of some small-value electronic products, small-scale enterprises mostly use second-hand/recycled components in consumer electronic products. Even larger enterprises in India are not manufacturers of basic electronics, like the chips made by Intel or solar wafers. Nor are they large enough to reap the advantage of scale manufacturing like Samsung or Apple in the mobile segment.

Recognizing the limitation of NPE-2019 in incentivizing large-scale manufacturing, the new PLI scheme focuses on value addition in assembling and manufacturing some components, and notes the need for a mechanism to compensate for manufacturing disabilities that are to the tune of ‘8.5 per cent to 11 per cent vis-à-vis other major manufacturing economies’.